

2.8 PRIVATE GOODS & PUBLIC GOODS

Multiple Choice Questions

1985/AL/I/10

A public good is

- A. a good produced by the government and made available to the public.
- B. a good which the private sector is not able to produce profitably.
- C. a good that is not scarce.
- D. a good that can be consumed by many individuals at the same time.

1986/AL/I/08

Which of the following is an example of a public good?

- A. the postal service
- B. a lighthouse
- C. a loaf of bread
- D. public medical services

1988/AL/I/03

A good is a public good if

- A. it is provided by the government free of charge.
- B. it can be consumed concurrently by many individuals.
- C. no one has to give up any other good to get more of the good in question.
- D. it is jointly owned by a large number of individuals.

1989/AL/I/24

A public good is

- A. a free good.
- B. a good produced by the government.
- C. the same as a public utility.
- D. a good that can be consumed by many individuals at the same time.

1990/AL/I/29

In an ocean which is **NOT** privately-owned, fish

- A. are a free good, because they are so abundant that more of them are not wanted.
- B. are not an economic good if the fishermen are not allowed by the government to compete among themselves.
- C. are a public good, because the fish are publicly-owned.
- D. are an economic good, because we are willing to sacrifice something in exchange for the fish.

1996/AL/I/04

Subscription (fee-paying) television programme broadcast by the Cable TV in Hong Kong is evidence of the fact that

- A. a public good is produced by a private enterprise.
- B. government action is necessary for reducing the divergence between private and social costs.
- C. free riders can be identified without cost.
- D. a public good becomes a private good whenever a fee is charged.

1996/AL/I/16

A public good is

- A. a free good which can be consumed by an unlimited number of consumers.
- B. a common property because no one can exclude others from using it.
- C. a good for which the marginal cost of serving an additional consumer is zero.
- D. a good for which the marginal cost of producing an additional unit is zero.

1997/AL/I/05

A public good

- A. cannot be produced efficiently by private firms.
- B. is free of charge.
- C. can be consumed by many individuals at the same time.
- D. is the same as a free good.

1998/AL/I/25

A public good is

- A. a free good.
- B. owned by the public.
- C. produced by the government.
- D. amenable for consumption by many individuals at the same time.

1999/AL/I/21

Which of the following statements about a public good is correct?

- A. A public toilet (water closet) is an example of a public good.
- B. When the marginal cost of serving a good to an extra consumer is zero, that good is a public good.
- C. A public good is characterized by the fact that one person's use of the good does not reduce the amount available for himself in the future.
- D. None of the above.

2000/AL/I/28

A common property

- A. induces non-price competition.
- B. is a free good because it has no market price.
- C. is a good that can be consumed concurrently by more than one individual.
- D. is a good owned collectively by more than one individual.

2001/AL/I/15

A public good is

- A. a good provided by the government but a price is charged.
- B. a good that must be produced by the government because it is too costly for a private producer to sell and collect payments.
- C. a good that can be consumed by many individuals at the same time.
- D. a good that may be used by the public free of charge.

2002/AL/1/28

Which of the following is an example of a public good?

- A. books in a public library.
- B. a public beach.
- C. the music of Mozart.
- D. a piece of abandoned land.

2003/AL/1/17

A public good

- A. is a free good.
- B. may be consumed by many individuals at the same time.
- C. is a good produced by a public agent.
- D. is a good provided free of charge by the government.

2005/AL/1/28

Which of the following comes closest to a public good?

- A. A public telephone in a booth in Central.
- B. The singing of Teresa Tang (鄧麗君).
- C. The City Hall Library.
- D. The public beach at the repulse Bay.

2007/AL/1/29

Which of the following is a public good?

- A. The music of Mozart.
- B. A public toilet.
- C. A box of candies shared by many people.
- D. A lighthouse serving only one boat.

2008/AL/1/27

Which of the following comes closest to the nature of a public good?

- A. the music of Mozart
- B. a piano performance of Mozart's music
- C. a compact disc of Mozart's music
- D. a performance of Mozart's operas

2010/AL/1/23

Which of the following statements about public goods is correct?

- A. A public good is a good provided free-of-charge by the government.
- B. A public good is a good that can be consumed concurrently by a large number of users.
- C. There is no competition in the production of public goods.
- D. A public good is a good that is not scarce.

2010/AL/1/30

Which of the following is a public good produced privately?

- A. national defence
- B. the poems of Su Dongpo (蘇東坡)
- C. the service of a court judge
- D. the books of Milton Friedman

2011/AL/I/24

A public good is

- A. a good that is not scarce.
- B. a good for which the marginal cost of producing an additional unit is zero.
- C. a common property which is owned by the public.
- D. None of the above.

2011/AL/I/29

Oysters found on a public beach

- A. are not private goods because there are no private property rights governing them.
- B. are public goods because there are common properties.
- C. are economic goods because people are willing to pay a price to get them.
- D. are free goods because they are provided by nature.

2012/DSE/I/04

A parking lot in the government headquarter is reserved for government officials. The parking lot is _____ because _____.

- A. a private good it is for private use only
- B. a private good concurrent consumption is not possible
- C. a public good the government owns it
- D. a public good no one has an exclusive right to use

2013/DSE/I/06

The television broadcast of European football matches is

- A. a public good if citizens can enjoy the broadcast of matches in public areas like restaurants and Karaoke lounges.
- B. a private good if a local television broadcasting company has purchased the exclusive right to broadcast in Hong Kong.
- C. a free good because there is no cost in serving an additional viewer.
- D. a producer good if the broadcast is used to teach the children in a football training school.

2017/DSE/I/03

A public good

- A. is a good with zero marginal cost of production.
- B. can only be provided by the government.
- C. cannot be protected by private property rights.
- D. allows concurrent consumption by many individuals.

2018/DSE/I/05

Which of the following statements about the exhibits in the Louvre Museum is correct?

- A. They are public goods because the Louvre Museum is open to the public.
- B. They are capital because they are man-made resources used in production.
- C. They are consumer goods because more of them are preferred.
- D. They are economic goods because they satisfy human wants.

2020/DSE/II/2

In Lunar New Year, tourists reserve tables in waterfront restaurants to enjoy firework display. The firework display is a _____ because _____.

- A. public good.....the government pays for the firework display
- B. public good.....one individual's consumption will not reduce its availability to others
- C. private good private firms have to use resources to produce the firework display
- D. private good.....the seats in waterfront restaurants are excludable in consumption

Short & Structured Questions

2015/DSE/II/1(a)(ii)

More and more famous universities offer “massive open online courses” (MOOC) to students from various backgrounds for systematic learning.

Most of the teaching materials in MOOC can be accessed online by anyone free of charge. Explain whether these materials are public goods. (3 marks)